

The rules for borrowing vary from company to company, so check the details with your employer. Usually, you can borrow half the amount you contributed to your 401(k) plus earnings. Depending on how long you've worked for the company, you may be able to borrow up to half your employer's contributions too. Some employers do not permit loans of less than \$1,000. Loans usually must be paid back within five years, although if you use the money to buy your primary home you may be able to pay it back over a longer period. Although you really don't want to plan to borrow—debt is not something you need—it's good to know the option is there for emergencies.

Even if you can't withdraw or borrow from your retirement plan very easily, it usually still makes sense to invest in a 401(k). The advantage of tax-favored compounding is so great that after about ten years, its benefit could outweigh the 10% penalty you'd have to pay for making unqualified early withdrawals.

Withdrawals from IRAs

The rules for IRA withdrawals differ depending on what kind of IRA you have. With traditional IRAs, you'll have to pay both income tax and a 10% penalty on IRA money you withdraw before the age of 59½.

Roth IRAs have more lenient guidelines: You can withdraw the money you've contributed to them at any time without paying the income tax or the 10% penalty. But that applies only to your *contributions*. You'll have to pay both the penalty and the tax if you withdraw the *interest* on your contributions before you retire. To help you get a better handle on whether you would have to pay taxes and penalties, go to www.irs.gov and search for publication 590.

The government also lets you withdraw money from *any* IRA, without paying the 10% penalty, for any of the following reasons, as long as you've had the IRA open for five years:

DIVIDING YOUR RETIREMENT SAVINGS PIE

Most experts urge young people to put a large part of their retirement money into stocks—and I agree—but there's no magic